

Worked example -- the FX-adjusted dollar investor over three months (mid-2022)

Month	FXGCF signal	Forecast E[rx] (%)	Recursive vol (%)	Target weight	Action	Realized 12m (%)
2022-05	0.41	4.14	6.49	0.93	Hold overweight	-7.9
2022-06	0.27	3.97	6.62	0.86	Sell ~8% of bonds -> underweight	-6.5
2022-07	-0.18	3.65	6.73	0.77	Sell ~11% of bonds -> near-cash	-10.4

Each month the investor reads the recursive FXGCF signal, updates the forecast E[rx] and the recursive volatility, and sets the mean-variance target weight $w = (1/\gamma) E[rx]/\text{vol}^2$; 'Action' is the implied rebalancing. 'Realized 12m' is the subsequent realized return, shown only to assess the call ex post -- it is not used in forming the weight. The deteriorating signal drove a move to near-cash ahead of a sharp drawdown.